

Enterprise Sales Stages

This document describes the sales stages PikeSquare recommends. Note that these stages are most appropriate for true enterprise deals, which are often long-running opportunities with multiple, complex buying influences and decision processes. You will want to adapt these stages for your own use.

Sales Stage 0: Prospect

We have a meeting scheduled with a customer in our serviceable market. The meeting is with someone who has reasonable influence and access to power.

Create a Stage 0 Opportunity When...

- We have scheduled (for a confirmed date and time) a meeting with a meaningful contact who is positioned to understand our value proposition.
- Generally, the contact should be manager or director level in a relevant business function, or otherwise someone with apparent influence.
- The customer is within our serviceable market.

Goals and Key Tasks

Before the meeting is held:

- Perform initial research on the account and person.
- Understand publicly available information about the organization and roles, company or third-party information about business or market challenges.
- Identify company contacts (company executives, advisors, board members) who may be connected to others at the organization.

Hold an initial call to:

- Establish credibility, discuss our unique insights on the market, and qualify for further investment of our time.
- Verify that the customer (1) has challenges relevant to our value proposition, (2) that there are meaningful business consequences to those challenges, and (3) that the customer has a sense of urgency to address these issues.
- Learn some specific, measurable information about the customer's business situation.

Roles and Responsibilities (sample)

- BDR: Schedules the initial call; may also attend to provide continuity.
- Account executive: Holds initial meetings to qualify interest and opportunity. Secures next meetings and commitment to progress discussions.

Resources that Can Help You (sample)

- Introductory ("Pitch") Deck
- Ideal Customer Profile
- Buyer Personas
- Qualification and Discovery Guide
- Account Plan

Criteria to Advance to Stage 1

- We have held an initial call with a contact who is positioned to understand our value proposition.
- The opportunity is preliminarily qualified: We understand that there is a problem that we can solve, and the customer views solving that problem with a minimum level of importance. (This is an "investable problem.")
- The customer is open to further discovery to introduce us to additional stakeholders, share more information, and/or learn more about our solution.

Sales Stage 1: Qualify

We have held an initial meeting with a someone who has reasonable influence and access to power. We now seek to fully qualify the opportunity.

Criteria to Enter Stage 1

- We have held an initial call with a contact who is positioned to understand our value proposition.
- The opportunity is preliminarily qualified: We understand that there is a problem that we can solve, and the customer views solving that problem with a minimum level of importance. (This is an "investable problem.")
- The customer is open to further discovery to introduce us to additional stakeholders, share more information, and/or learn more about our solution.

Goals and Key Tasks

- We fully qualify the opportunity. This means:
 - **Problem.** We are aligned with our sponsor(s) on the problem statement and how the problem impacts their ability to achieve their business goals.
 - **Importance.** We have verified that this is an investable problem. We know that this is more than a long-term goal or a nice-to-have. We have evidence for this importance (e.g., budget allocated, people assigned, compelling event identified).
 - **Players.** We have access to executive sponsorship to pursue the opportunity and agreement to move forward to define a detailed solution. We have a preliminary understanding of other players on the stakeholder team.
 - **Effect.** We understand the effect that solving the problem will have on the customer's business. Think of this as the answer to the question, "If I had to tell the customer's CFO why this problem is essential to solve, how would I explain it?"
- We schedule a first meeting with an executive sponsor.
- We may show an initial, usually generic demo to the customer, and/or perform detailed discovery in support of a custom demo to come.

Roles and Responsibilities (sample)

- Account executive: Coordinates all sales activities, secures sponsorship, identifies members of the stakeholder team, and forms relationships with business stakeholders.
- Solution consultant: Supports initial presentations on an exception basis when needed. (Generally, solution consultants will not participate until deals are fully qualified at Stage 2.)

Resources that Can Help You (sample)

- Introductory ("Pitch") Deck
- Qualification and Discovery Guide
- Opportunity Worksheet

Criteria to Advance to Stage 2

- The opportunity is fully qualified (as above).
- We have a preliminary "Only [Our Company]" point of view.
- We have a commitment to secure a meeting with a senior stakeholder — ideally an executive sponsor with budget authority.

Sales Stage 2: Define

We have a qualified opportunity, and we now seek to fully define and present our solution to the business problem.

Criteria to Enter Stage 2

- The opportunity is fully qualified (as above).
- We have a preliminary "Only [Our Company]" point of view.
- We have a commitment to secure a meeting with a senior stakeholder — ideally an executive sponsor with budget authority.

Goals and Key Tasks

- Secure executive sponsorship.
- Identify the members of the stakeholder team. The stakeholder team should include representation from all major business functions that will have a say in a final decision, including operations, HR, finance, IT, privacy, and security.
- Develop the problem statement so the value of the problem can be described in clear and quantitative terms.
- Develop our solution concept so we know how to solve the problem and deliver that value. Position ourselves as the only solution that can deliver that value: our only [Our Company] statement.
- Demonstrate our solution.
- Qualify for ability to spend; usually, we will be presenting budgetary pricing at this stage.

Roles and Responsibilities (sample)

- Account executive: Coordinates all sales activities, secures executive sponsorship, identifies members of the stakeholder team, and forms relationships with business stakeholders.
- Solution consultant: Conducts technical discovery, defines the solution, connects the solution to the value proposition, delivers a custom demo (as appropriate), and forms relationships with technical and user stakeholders.

Resources that Can Help You (sample)

- Introductory ("Pitch") Deck
- Opportunity Worksheet
- Demo Guide

Criteria to Advance to Stage 3

- We understand the stakeholder team, and we understand the group that will need to achieve consensus to move forward with a purchase.
- We have met with an executive sponsor with influence and authority to act.
- The executive sponsor agrees to help us secure meetings with the stakeholder team.
- The executive sponsor agrees to support us as we develop a detailed proposal and has agreed to provide us feedback and a response on that proposal.
- We are aligned with our executive sponsor on the "Three Whys" test:
 - **Why do something:** The economic value of solving the problem.
 - **Why do it now:** the urgency and cost of inaction.
 - **Why do it with us:** why we are the right choice and how we are differentiated from alternatives.
- We have completed a technical discovery and addressed red flags/showstoppers.

Sales Stage 3: Build Consensus

We have a clearly defined opportunity, access to a decision-maker, and confirmation that our solution can achieve a priority outcome. We now can build consensus among the buying team and issue a formal proposal.

Criteria to Enter Stage 3

- We understand the stakeholder team, and we understand the group that will need to achieve consensus to move forward with a purchase.
- We have met with an executive sponsor with influence and authority to act.
- The executive sponsor agrees to help us secure meetings with the stakeholder team.
- The executive sponsor agrees to support us as we develop a detailed proposal and has agreed to provide us feedback and a response on that proposal.
- We are aligned with our executive sponsor on the "Three Whys" test:
 - **Why do something:** The economic value of solving the problem.
 - **Why do it now:** the urgency and cost of inaction.
 - **Why do it with us:** why we are the right choice and how we are differentiated from alternatives.
- We have completed a technical discovery and addressed red flags/showstoppers.

Goals and Key Tasks

- Build a consensus strategy; meet with stakeholders to build consensus among the decision team on the answer to the Three Whys test.
- Meet with stakeholders to initiate approvals or clearances that might surface as barriers to sale, such as IT, security, and privacy.
- Perform a detailed functional and technical discovery so we can develop a complete solution proposal with as few gaps and unknowns as possible.
- Create a solution proposal and pricing, including:
 1. A restatement and description of the customer's business problem and goals,
 2. A description of our solution and how it delivers value,
 3. A detailed solution plan, including technical considerations such as integrations,
 4. Change management considerations,
 5. Clarity on the customer's role and expectations of the customer,
 6. A formal pricing proposal, and
 7. A statement of value/business case.

Roles and Responsibilities (sample)

- Account executive: Coordinates all sales activities, maintains contact with sponsors, meets all stakeholders, drives consensus, builds pricing.
- Solution consultant: Builds the solution proposal, coordinates with post-sale team, supports technical approvals.
- Delivery: Supporting role to the solution consultant, building out specifics of the implementation and delivery plan.

Resources that Can Help You (sample)

- Proposal format
- Mutual success plan

Criteria to Advance to Stage 4

- We have presented a formal solution proposal and pricing.
- The customer has agreed to consider our proposal and has committed to making a decision.
- We understand (and usually have initiated) any clearance and approval processes, such as technology, security, and privacy.

Sales Stage 4: Confirm

We have issued a formal proposal and are awaiting an award of the business.

Criteria to Enter Stage 4

- We have presented a formal solution proposal and pricing.
- The customer has agreed to consider our proposal and has committed to making a decision.
- We understand (and usually have initiated) any clearance and approval processes, such as technology, security, and privacy.

Goals and Key Tasks

- Provide evidence supporting our ability to delivery on the proposal and our value proposition. This takes the form of customer references, testimonials, or success stories.
- Respond to the customer's questions and adjust our proposal to align with the customer's needs and objectives. Understand and retire objections and open issues.
- Identify and go through any formal review processes, such as IT purchase or investment committees, vendor onboarding, architecture reviews, privacy, security, or other reviews that the customer may require.
- Continue to build and reinforce consensus among stakeholders.
- Gain preliminary understanding of the buying process (approvals and signatories).

Roles and Responsibilities (sample)

- Account executive: Coordinates all sales activities, maintains active contact with sponsors and stakeholders. Identifies all process steps and approvals required and encourages customer to initiate reviews as needed. Confirms budget availability. Arranges reference calls. Identifies final objections and coordinates response.
- Solution consultant: Spearheads response to any technical reviews such as architecture or security. Supports solution or technical questions.
- Delivery/Customer Success: Supporting role to the solution consultant.

Resources that Can Help You (sample)

- Mutual success plan
- Customer reference guide/list
- SOC2 and security overviews

Criteria to Advance to Stage 5

- We have been given notice of selection (we are "vendor of choice," and the customer has confirmed they intend to move forward with a purchase.
- We have a high-level understanding of the purchasing and approval process.
- We believe that any remaining gaps or conditions can be resolved through the negotiation/procurement process. (For example, we may not have final agreement on price, but we have a reasonable belief we can close the price gap during negotiation.)
- We have completed reference checks (other than pro forma references that are a part of the procurement process).
- We have passed any review or approval committees, compliance, privacy, risk, and security reviews (other than steps that are a part of the procurement process).
- We have been introduced to procurement or have an equivalent next step that indicates the customer has initiated the purchase process.

Sales Stage 5: Negotiate

We are in procurement.

Criteria to Enter Stage 5

- We have been given notice of selection (we are "vendor of choice," and the customer has confirmed they intend to move forward with a purchase.
- We have a high-level understanding of the purchasing and approval process.
- We believe that any remaining gaps or conditions can be resolved through the negotiation/procurement process. (For example, we may not have final agreement on price, but we have a reasonable belief we can close the price gap during negotiation.)
- We have completed reference checks (other than pro forma references that are a part of the procurement process).
- We have passed any review or approval committees, compliance, privacy, risk, and security reviews (other than steps that are a part of the procurement process).
- We have been introduced to procurement or have an equivalent next step that indicates the customer has initiated the purchase process.

Goals and Key Tasks

- Understand and manage the full procurement and signature process and set up each step for success.
- Negotiate the pricing and order form.
- Negotiate legal terms and conditions.
- Complete and finalize all approvals.
- Issue final paperwork for signature.

Roles and Responsibilities (sample)

- Account executive: Coordinates negotiation with management and legal. Manages connection with procurement. Manages completion of signature process. Submits final orders for approval.
- Deal desk/operations: Manages approvals and paperwork.
- Solution consultant: Prepares transition to post-sale team.
- Customer success/delivery: Identifies post-signature plan and prepares for kick-off/launch.

Resources that Can Help You (sample)

- Master services agreement
- Order form
- Guide for procurement and legal

Criteria to Advance to Stage 6

- All issues have been resolved and the deal terms are fully negotiated and agreed.
- The order and contract are out for signature.

Sales Stage 6: Execute

We have a fully negotiated contract and the customer has signature-ready paper.

Criteria to Enter Stage 6	• All issues have been resolved and the deal terms are fully negotiated and agreed. • The order and contract are out for signature.
Goals and Key Tasks	• Receive the executed paperwork. • Countersign the fully executed order. • Submit the fully executed order for processing. • Approve and book the order.
Roles and Responsibilities (sample)	• Account executive: Stays in contact with sponsors and signatories, resolves final questions, secures customer signature. Submits final order for approval. • Deal desk: Processes final paperwork; coordinates with finance.
Resources that Can Help You (sample)	• Win Report • Win Announcement Template • Onboarding Plan
Criteria to Advance to Stage 7	• The order and contract are fully executed. • The order has been booked.

Sales Stage 7: Closed Won

We have booked the fully executed order.

Criteria to Enter Stage 7	- The order and contract are fully executed. - The order has been booked.
Goals and Key Tasks	- Celebrate the win! Ring the bell and spend commissions! - Complete a win report. - Announce the win to the company. - Schedule the customer's onboarding call.
Roles and Responsibilities (sample)	- Account executive: Completes the win report and drafts the win announcement. - Sales leader: Completes and sends out the win announcement to the company. - Customer success: Schedules the customer's onboarding call.
Resources that Can Help You (sample)	- Win Report - Win Announcement Template - Onboarding Plan
Criteria to Advance to Customer Onboarding	- Onboarding plan sent to customer - Customer's onboarding plan scheduled

Pipeline Management FAQ

Should this deal be in the pipeline, or should I close it lost?

- For an opportunity to be in the pipeline, both of the following two things must be true:
 - You must have a reasonable belief that the opportunity will continue to progress to closure, and
 - You must expect the next step in that progression in a finite timeframe.
- An opportunity that is "lost" doesn't mean you made a mistake, that you lost the deal to a competitor, or that it will never come back again. It simply means that *this* opportunity is not going to progress in a finite timeframe towards closure.
- For example:
 - If a customer says "you are officially selected and we have submitted our funding request for next year's budget, and we should know by November 15 if we have funding, and if we do, we will put an order into procurement," that's enough to stay in the pipeline... even if November 15 is a few months away.
 - If a customer says "we are not able to move forward right now; check back with us in November," then that opportunity should be closed as lost.

About PikeSquare

PikeSquare is about building winning go-to-market teams. Our expertise is in enterprise software and SaaS.

The pike square was a military tactic that dominated European battlefields in the late Middle Ages. Teams of 100 men, carrying steel-tipped spears called pikes, moved in a ten-by-ten formation. The pike square was nearly invincible until advancements in firearms made pikemen obsolete in the 17th century.

The pike square required troops acting with exceptional coordination. A pikeman operating without the protection of the formation was an easy target. But well-trained and well-drilled troops acting together as a single unit formed a fast, agile, and lethal offensive weapon.

Enterprise sales, marketing, and customer success also requires that teams work together. PikeSquare draws its inspiration from this idea — that an integrated go-to-market team, acting in alignment on a single strategy — is a formidable business weapon.

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